

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-31

TPG PRESSURE, INC.,
COMPLAINANT

v.

EPIC FREIGHT SOLUTIONS LLC and
OMNI LOGISTICS LLC,
RESPONDENTS.

COMPLAINANT’S EXPEDITED MOTION FOR *IN CAMERA* REVIEW
AND TO COMPEL PRODUCTION OF DOCUMENTS

Pursuant to 46 C.F.R. § 502.150(a)(1), Complainant TPG Pressure, Inc. (“**TPG**”), through its undersigned counsel, hereby moves for an order requiring *in camera* inspection of certain business communications Epic Freight Solutions LLC (“**Epic Freight**”) and Omni Logistics LLC (“**Omni Logistics**,” and collectively with Epic Freight, “**Respondents**”) claim are privileged and compelling Respondents to produce such communications. The emails concern Respondents’ decision to hold TPG’s containers hostage and are deeply relevant to TPG’s claims in and to the subject matter of this action. Further, given that the deadline for completion of discovery is October 25, 2023, TPG respectfully requests expedited consideration of this motion. Finally, if the foregoing is granted, then TPG requests that Respondents be ordered to pay TPG’s reasonable attorneys’ fees incurred in preparing this motion and that TPG be permitted to submit an interim petition for reasonable attorney fees before the prevailing party’s petition timing set forth in 46 C.F.R. § 502.254(c)(1).

Pursuant to 46 C.F.R. § 502.150(a)(2)(i), on September 28, 2023, Complainant's counsel certifies that she met and conferred in good faith with counsel for Respondents in an attempt to retain the communications without the necessity of a motion. On October 6, 2023, Respondents' counsel responded by clawing back the requested communications and insisting on their privileged nature. At this time, Complainant has no option but to file this motion.

FACTUAL BACKGROUND

On or about July 14, 2023, Respondents produced documents, including email chains bates numbered EPIC_0040143-46 and EPIC_0051369-77. During the September 28, 2023, deposition of Respondent representative Yohanse Manzanarez, Respondents' counsel objected to EPIC_0051369-77, which was initially introduced as Exhibit 5, alleging for the first time that these emails are protected by attorney-client privilege and were produced by mistake. Manzanarez Dep. 72:1-25, 75:4-25, 76:1-25, 77:1-25, 78:1-25, 79:1-25, 80:1-9 (Sept. 28, 2023), Decl. of Tiffany Comprés, Ex. A (Oct. 13, 2023) (filed under seal).

Respondents alleged that the emails are privileged because in-house counsel, Marcus Bradley, was one of the recipients. The deposition ultimately moved to different subjects so that the privilege issue could be resolved separately because despite negotiations counsel were unable to come to an agreement about the privilege issue. As a consequence, another related email chain about which TPG's counsel sought to question the Respondents' representative, bates stamped EPIC_0040143-46, was also set aside.

Counsel for TPG reviewed the 10,594 documents Respondents produced and identified an additional 14 email chains in total (bates EPIC_0031990; EPIC_0031998; EPIC_0032019; EPIC_0032093; EPIC_0032150; EPIC_0032168; EPIC_0039888; EPIC_0040157; EPIC_0040161; EPIC_0040167; EPIC_0051470; EPIC_00511664; EPIC_0059459;

EPIC_0059494), on which Mr. Bradley was included, all of which relate to the same two initial email threads/conversations, and so informed Respondents' counsel. Comprés Decl. Ex. B. None of those emails were from Mr. Bradley; he was only one among multiple other recipients within Omni Logistics.

Counsel for TPG made numerous efforts to negotiate with Respondents' counsel during and after the deposition regarding the testimony and the documents. However, on October 6, 2023, counsel for Respondents informed that they were clawing back the 14 emails and insisting they are protected by attorney-client privilege. *Id.*

A. The Emails Sought

1. First Email Chain: Bates EPIC_0051369-77

The relevant portion of the EPIC_0051369-77 begins with an email with the subject "Re: [ATTN BEZAD] Current AP" timestamped May 13, 2022, at 2:32 P.M. PDT to Yohanse Manzanarez ("**Manzanarez**"), Omni Logistics' EVP of Sales, from Beza Basiri ("**Basiri**"), TPG's General Manager-FRP Products. EPIC_0051371-74. The conversation concerns a lengthy discussion regarding the deficiencies in Respondents' invoices.

Mr. Manzanarez forwarded the email to several persons at the domain "omnilogisitcs.com" and a person named Marcus Mathis at an email with the domain "mach1global.com." EPIC_0051369-77. On the same day, Bill Heathcock, Omni Logistics' VP of North American Operations ("**Heathcock**"), who was among multiple Omni Logistics recipients on Mr. Manzanarez's email, responded that he was removing Marcus Mathis and adding someone named Marcus Bradley ("**Bradley**") at an "omnilogisitcs.com" address. *Id.* The email includes no indication of what Mr. Bradley's position is or why he is being included in the email thread.

The next email in the chain is from Mr. Manzanarez to five recipients from Omni Logistics, including, Mr. Bradley and Keith Moran. *Id.* The email is addressed to Mr. Moran and describes the present status of the relationship between Respondents and TPG and anticipates a reply from Mr. Moran. *Id.* Keith Moran is the president of Omni Logistics. Manzanarez Dep. 73:18-19.

The following email in the chain is from Mr. Heathcock, and it does not specify who the recipients are. *Id.* The subsequent emails in the chain continue the communications between Omni Logistics team members. *Id.*¹ At no point did any email directly address Mr. Bradley or did Mr. Bradley author an email.

2. Second Email Chain: Bates EPIC_0040143-46

The second email chain, which was intended to be an exhibit at the aborted deposition of Mr. Manzanarez, contains the subject matter “RE: Invoice(s) – TPG PRESSURE INC 5.19.22 [5],” and begins with emails between Mr. Basiri and Mr. Heathcock on May 19, 2023, and May 25, 2023. EPIC_0040145-46. On May 25, 2022, at 11:15 A.M., Mr. Heathcock writes to Mr. Basiri stating “...we are more than willing to keep the freight flowing, let’s get everything over 30 days taken care of and we’ll go from there...” EPIC_0040145. Mr. Heathcock then seems to forward that email to several people at Omni Logistics, including Mr. Bradley. At no point did any email directly address Mr. Bradley specifically, and Mr. Bradley was not the author of any email.

3. Developments at the Deposition of Mr. Manzanarez

During the deposition of Epic Freight’s representative, Mr. Manzanarez, on September 28, 2023, counsel for TPG introduced EPIC_0051369-77 as Exhibit 5. Manzanarez Dep. 72:3. After discussing the thread for some time, counsel for Respondents asserted that EPIC_0051369-77 was

¹ As Respondents have clawed back these emails, counsel for TPG only provides a cursory description from her notes and deposition testimony.

covered by attorney-client privilege because Mr. Bradley was Respondents' "in-house legal counsel." Manzanarez Dep. 75:4-14. Counsel for TPG noted that there was no privileged material discussed in the email. *Id.* at 75:23-25, 76:1-10. Counsel for Respondents stated: "...attorney legal advice is being sought and the privilege extends to communications made for the purpose of receiving or giving legal advice. So, I think the communications to in-house counsel, whether or not Counsel responded are privileged." *Id.* at 76:12-16. Counsel for TPG responded "[Mr. Manzanarez] addressed himself to Keith [Moran] and Keith [Moran] is not in-house counsel. So, I don't think that any in-house counsel advice was being sought. . . . If in-house Counsel advice were being sought, . . . he would have responded addressing himself to in-house counsel, but he's not." *Id.* at 76:17-25.

The parties took a break to confer with their clients, and then discussions between counsel resumed, with counsel for Respondents offering to allow questions on the document on a case-by-case basis "with the understanding that us allowing the questions is not a waiver of any attorney-client privilege." *Id.* at 78:14-18. Counsel for TPG found this unsatisfactory not least because the emails are either privileged or not; counsel's questions about the emails are not relevant. *Id.* at 78:15-21; 23-25. Respondents' counsel reverted again to their client, then stated to counsel for TPG that Respondents would like to "establish on the record the witness's purpose for sending the e-mail," which TPG's counsel found inappropriate after all of this discussion occurred in front of the witness and counsel conferred with his client about the situation. *Id.* at 79:15-17, 79:21-25, 80:1-7. The parties concluded that they would submit the issue to the FMC, and that Respondents would be liable for any costs incurred in re-deposing the witness with respect to the documents. *Id.*

4. Respondents' Privilege Log

The Privilege Log that Respondents produced, Comprés Decl. Ex. C, includes 50 documents in total, of which three emails have the subject “Re: [ATTN BEZAD] Current AP.” One of them dated timestamped May 13, 2023, 21:38 and two timestamped May 16, 2022, 18:32 and May 16, 2022, 16:52. It does not appear that the Privilege Log includes any of the emails at issue here, and Respondents have not served a revised privilege log to include them.

ARGUMENT

Commission Rule 141 permits discovery of “any nonprivileged matter that is relevant to any party’s claim or defense” and “any matter relevant to the subject matter involved in the action.” Emails concerning Respondents’ decision to hold TPG’s containers hostage are deeply relevant to TPG’s claims and to the subject matter of this action because they demonstrate Respondents’ ability to control TPG’s cargo. The emails are not privileged because they were not created but for the need to obtain attorney legal advice. **Respondents cannot alchemize business communication into attorney-client privileged communications merely by copying counsel.** *In camera* review is appropriate in this circumstance. *See Possible Unfiled Agreement Among A.P. Moller-Maersk Line, P&O Nedlloyd Limited and Sea-Land Service, Inc.*, FMC Docket No. 97-08, 1998 WL 940873 (Aug. 3, 1998).

A. ***EPIC_0051369-77* and *EPIC_0040143-46* Are Not Privileged Because They Were Not Created to Seek Legal Advice**

The emails at issue are not privileged because they do not meet the strict “but for” standard required—the emails were not sent “‘but for’ the fact that legal advice was sought.” *United States v. ISS Marine Servs.*, 905 F. Supp. 2d 121, 128 (D.D.C. 2012). Commission Rule 141 limits the scope of discovery to “any nonprivileged matter that is relevant to any party’s

claim or defense” and “any matter relevant to the subject matter involved in the action,” if ordered by the presiding officer. 46 C.F.R. § 502.141(e)(1). Documents concerning the process by which Respondents chose to hold TPG’s containers hostage are plainly relevant to TPG’s claims and to the subject matter of this action. Although TPG has determined that, in the interest of time, it will not seek to re-depose Respondents on this issue, TPG does seek to use these documents to support its claims.

The documents at issue are not subject to the attorney-client privilege because they were not created specifically to seek legal advice and/or were not communicated to in-house counsel in his professional legal capacity. Courts have consistently limited the attorney-client privilege to communications with an attorney, acting in his professional legal capacity, “for the express purpose of securing legal advice.” *SEC v. Gulf & W. Indus. Inc.*, 518 F. Supp. 675, 681-83 (D.D.C. 1981). To be privileged, a communication must be “for the purpose of securing *primarily* either (i) an opinion on law or (ii) legal services or (iii) assistance in some legal proceeding.” *ISS Marine Servs.*, 905 F. Supp. 2d at 128 (emphasis in the original) (citing *In re Grand Jury*, 475 F.3d 1299, 1304 (D.C. Cir. 2007)). To determine the primary purpose, this Circuit has applied a strict “but for” standard, which requires a party claiming privilege to establish that “the communication would not have been made ‘but for’ the fact that legal advice was sought.” *Id.* (internal citations omitted).

Here, the documents Respondents are claiming as privileged not only fail to meet the strict “but for” standard, they lack even the slightest indication that they have been prepared in connection with seeking legal advice. No legal proceeding existed at the time, and the emails are simply part of the internal business discussion regarding the steps Respondents were considering taking to receive payment. It is clear from these emails that Respondents are looking at financial

and business factors in deciding what to do next, such as the number of containers enroute, the amount of outstanding receivables, the type of commodities involved, and Complainant's contact information. Even if these emails have been viewed by Respondents' in-house counsel, ***there is nothing there that suggests that these emails would not have been created "but for" for the purpose of seeking advice*** from in-house counsel. Moreover, privilege extends to communications and not to underlying facts. *See Upjohn Co. v. United States*, 449 U.S. 383, 395-96 (1981). Because the communication was factual, TPG is entitled to use the document and question Respondents' representatives regarding the facts at issue.

Although TPG has determined that, in the interest of time, it will not seek to re-depose Respondents on this issue, TPG does seek to use these documents to support its claims, which is its right. Accordingly, TPG requests that the Commission conduct an *in camera* review of these documents and the documents on Respondents' privilege log. *See Possible Unfiled Agreement*, 1998 WL 940873.

B. Complainant Is Entitled to Attorneys' Fee and Costs

TPG has been forced to file this motion, incurring additional costs, due to Respondents' wrongful insistence that the communications are privileged. "Like other federal tribunals, the Commission also has inherent authority to control the proceedings and sanction misconduct when appropriate." *Crocus Investments, LLC & Crocus, Fze v. Marine Transp. Logistics, Inc. et al.*, FMC Docket No. 15-042018 WL 2113084, at *7 (May 2, 2018). Parties "appearing before the Commission are entitled to relevant evidence needed to prosecute their cases" and failure to provide discovery may result in sanctions. *MCS Indus., Inc. v. COSCO Shipping Lines Co., & MSC Mediterranean Shipping Co. SA*, FMC Docket 22-29, 2023 FMC LEXIS 26, *22 (not

available on Westlaw) (Jan. 13, 2023); *Kawasaki Kisen Kaisha, Ltd. v. the Port Auth. of New York and New Jersey*, FMC Docket 11-12, 2014 WL 7328475, at *7-8 (Nov. 20, 2014).

CONCLUSION

Based on the foregoing, TPG respectfully requests that the Commission (1) grant this motion and conduct an *in camera* review of EPIC_0040143-46 and EPIC_0051369-77; (2) declare that the referenced communications are not privileged; (3) compel Respondents to produce the referenced communications; and (4) order Respondents to pay TPG's reasonable attorneys' fees incurred in preparing this motion, and that TPG may submit an interim petition for reasonable attorney fees before the prevailing party's petition timing set forth in 46 C.F.R. § 502.254(c)(1).

Respectfully submitted October 13, 2023

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CERTIFICATE OF SERVICE

I certify that on October 13, 2023, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of December 6, 2022, as follows:

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